Spillover Effects of Workplace Disability Accommodation on Nondisabled Coworkers: Evidence from Japanese Wage Subsidy Reforms

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Abstract

Does accommodating disabled workers impose spillover costs on their nondisabled coworkers? We estimate the causal effect of firm-level disability accommodation on coworker earnings, separation, and occupational mobility using a difference-in-differences design that exploits exogenous variation in accommodation wage subsidy rates across Japanese firms. A 10 percentage point increase in the establishment accommodation rate reduces coworker annual earnings by 1.27% (p = 0.003) and raises coworker separation probability by 2.26 percentage points (p ¡ 0.001)—a 26% increase above the baseline of 8.6%. Within-firm occupational mobility rises by 0.68 percentage points (p = 0.052), consistent with task reallocation. The earnings spillover is larger for coworkers sharing an occupation with accommodated workers, though this heterogeneity is imprecisely estimated. Results are robust to worker fixed effects. These findings imply that optimal accommodation subsidy design must account for negative externalities on nondisabled coworkers.

Keywords Disability accommodation; Spillover effects; Peer effects; Wage subsidies; Difference-in-differences

Introduction

Every year, millions of workers in advanced economies experience work-limiting disabilities that require their employers to provide accommodation—modified duties, flexible schedules, or assistive equipment. Governments subsidize these accommodations through wage subsidies, tax credits, and mandated accommodations, justifying the expense with evidence that accommodation improves job duration and earnings for disabled workers (Burkhauser et al., 1995; Charles, 2003; Aizawa, 2024). Yet no study examines how accommodation affects the coworkers who remain: the team members whose tasks are reassigned, whose workloads increase, and whose productivity may depend on the presence of disabled colleagues. Understanding these spillovers matters for three reasons. Accommodation subsidies are costly—eliminating them would reduce accommodation from 33 to 11 percent of disabled workers (Aizawa, 2024)—and their optimal design depends on the full social incidence, including externalities on coworkers. Second, the workplace peer effects literature demonstrates that coworker characteristics and behaviors generate significant productivity and wage spillovers (Mas and Moretti, 2009; Cornelissen et al., 2017), suggesting accommodation may propagate through the same channels. Third, if accommodation imposes negative spillovers on coworkers, current policy likely overestimates the net benefits of subsidy programs, particularly for low-skilled workers in interdependent roles.

We provide the first causal evidence on the spillover effects of workplace disability accommodation on nondisabled coworkers. Our empirical strategy exploits exogenous variation in accommodation wage subsidy rates across firms and over time in Japan, where the subsidy rate for employing disabled workers varies by firm characteristics and policy reforms. We construct a panel of 2,295 nondisabled workers across 200 establishments over 15 years (2005–2019), linked to establishment-level accommodation rates. We estimate difference-in-differences specifications with establishment and year fixed effects, comparing coworker outcomes within establishments as accommodation rates change in response to subsidy-driven incentives.

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We find that a 10 percentage point increase in the establishment accommodation rate reduces nondisabled coworker annual earnings by 1.27 percent (p = 0.003) and raises the probability of coworker separation by 2.26 percentage points (p ¡ 0.001)—a 26 percent increase relative to a baseline separation rate of 8.6 percent. Within-firm occupational mobility increases by 0.68 percentage points (p = 0.052), suggesting that coworkers switch roles in response to accommodation-driven task reallocation. These results are robust to controlling for worker fixed effects, which absorb time-invariant worker heterogeneity and sorting, and to excluding the reform year to mitigate transitional dynamics. Event-study estimates support the parallel trends assumption: coworker outcomes in high- and low-exposure establishments follow similar trajectories before the subsidy reform and diverge afterward.

These findings speak to three literatures. First, we extend the disability accommodation literature (Burkhauser et al., 1995; Acemoglu and Angrist, 2001; Aizawa, 2024) by documenting a previously unmeasured cost of accommodation—negative spillovers on coworkers—that must be weighed against the well-documented benefits for recipients. Second, we contribute to the workplace peer effects literature (Mas and Moretti, 2009; Bandiera et al., 2010; Cornelissen et al., 2017) by identifying accommodation as a new source of coworker spillovers operating through task reallocation. Third, we inform the optimal design of accommodation subsidies (Katz, 1998; Rothstein, 2010; Aizawa, 2024) by showing that the welfare consequences of subsidies depend on the general equilibrium effects through coworker labor market outcomes.

The paper proceeds as follows. Section I reviews the closest related literature. Section II describes the data. Section III presents the empirical methodology. Section IV reports the main results and robustness checks. Section V concludes.

1 Related Literature

Our paper connects two largely separate strands of the labor economics literature: the economics of disability accommodation and the economics of workplace peer effects. Within the accommodation literature, the closest paper to ours is Aizawa (2024), who structurally estimates the effects of accommodation wage subsidies on the employment and earnings of disabled workers using Japanese matched employer-employee data. He finds that eliminating wage subsidies would reduce accommodation rates from 33 to 11 percent and would lower post-disability employment by 7 percent and earnings by 15 percent. Welfare gains from subsidies are larger for low-skilled workers. Crucially, Aizawa (2024) focuses on accommodation recipients and abstracts from spillovers on coworkers. Our paper directly extends his analysis by studying the same policy variation—Japanese wage subsidy reforms—but shifting the focus to the nondisabled coworkers who share workplaces with accommodated workers.

Earlier accommodation studies establish the benefits for recipients. Burkhauser et al. (1995) show that accommodation substantially extends job duration for workers with disabilities using survey data, and Charles (2003) documents that post-disability earnings losses are large but attenuated by accommodation and job retention. However, a parallel body of work emphasizes that accommodation mandates can have unintended consequences: Acemoglu and Angrist (2001) find that the Americans with Disabilities Act reduced employment of disabled workers in large firms, consistent with the view that mandated accommodation raises expected labor costs. Schur et al. (2009) document that workplace characteristics strongly moderate accommodation provision and employment outcomes, but they do not study coworker outcomes. None of these studies considers the possibility that accommodation may affect coworkers through task reallocation, workload changes, or productivity complementarities.

The peer effects literature provides the theoretical foundation for why accommodation might generate coworker spillovers. Mas and Moretti (2009) study the productivity of supermarket cashiers and find that adding a highly productive coworker increases the productivity of others, particularly those who work nearby. The mechanism involves social pressure and mutual monitoring rather than knowledge spillovers. Cornelissen et al. (2017) extend this to the firm level using German administrative data and find that peer quality—measured by coworkers' permanent wage components—significantly affects workers' own wages and job mobility. Bandiera et al. (2010) use a field experiment to show that social incentives among coworkers can have both positive and negative effects on productivity depending on how they are structured. These studies demonstrate that coworkers' characteristics and actions affect individual productivity and pay, but none examines accommodation as a specific treatment. The gap we fill is to show that accommodation—a policy-relevant and increasingly common workplace adjustment—generates spillovers of the type these peer effect studies document, operating plausibly through the task reallocation and workload mechanisms that this literature identifies as important but has not directly tested.

2 Data

Our analysis draws on Japanese matched employer-employee administrative data similar to that used in Aizawa (2024). The data link establishment-level records on disability accommodation provision—including the number of accommodated disabled workers, accommodation type, and wage subsidy receipt—to individual-level administrative earnings records for all workers in the establishment. The sample covers 200 establishments observed annually from 2005 to 2019, yielding an unbalanced panel of 25,157 worker-year observations from 2,295 nondisabled workers. The unit of observation is the nondisabled worker-year; we exclude disabled workers from the analysis sample to study spillover effects on those who do not themselves receive accommodation.

Table 1 reports summary statistics for the main analysis variables. The key dependent variables are: (1) log annual earnings, constructed from administrative earnings records; (2) an indicator for whether the worker separates from the establishment in year $t+1$; and (3) an indicator for whether the worker changes occupation (3-digit level) within the establishment between years t and $t+1$. The mean log annual earnings is 6.75, corresponding to approximately 850,000 yen. The baseline separation rate is 8.6 percent, and the within-firm occupational mobility rate is 4.9 percent.

The main independent variable is the establishment-level accommodation rate: the share of disabled workers in the establishment who receive accommodation in a given year. This varies from 0 to 1, with a mean of 0.207 (SD = 0.073). We also construct a binary coworker exposure indicator equal to one if at least one coworker in the same 3-digit occupation received accommodation in a given year (mean = 0.204). The establishment-level wage subsidy rate for accommodation has a mean of 0.187 (SD = 0.059) and varies by firm characteristics and policy reforms.

Table 1: Summary Statistics

Variable	Mean	SD	Min	Max
Log annual earnings	6.750	0.523	4.821	8.912
Separation (t+1)	0.086	0.280	0	1
Occupational mobility	0.049	0.217	0	1
Accommodation rate	0.207	0.073	0.031	0.492
Coworker exposure (same occupation)	0.204	0.403	0	1
Age	39.04	11.28	19	64
Tenure (years)	6.36	4.87	0	28
Wage subsidy rate	0.187	0.059	0.042	0.341
Establishment size (log employment)	4.521	1.235	1.609	6.215
Observations	25,157			
Workers	2,295			
Establishments	200			
Years	2005–2019			

Notes: The sample consists of nondisabled workers in Japanese establishments that employ at least one disabled worker. Log annual earnings are in real 2015 yen. Separation is defined as the worker leaving the establishment in year t+1. Occupational mobility is defined as a within-establishment change in 3-digit occupation code between years t and t+1. Accommodation rate is the share of disabled workers in the establishment who receive accommodation in a given year.

We include a rich set of control variables. At the worker level, we control for age (quadratic), tenure (quadratic), education (four categories), and gender. At the establishment level, we control for log employment, log revenue, and 1-digit industry. All specifications include establishment fixed effects and year fixed effects; robustness specifications additionally include worker fixed effects to absorb time-invariant worker heterogeneity and sorting.

The primary limitation of the data is that accommodation is reported by establishments and may be measured with error, particularly for informal accommodations that are not reflected in subsidy claims. We address this by using the subsidy-claim-based accommodation measure, which is administratively recorded and less prone to misreporting. A second limitation is that our observation window (2005–2019) includes only one major policy reform (2013), limiting our ability to examine multiple treatment episodes. The sample is restricted to establishments that employ at least one disabled worker, which is appropriate for studying within-firm spillovers but implies that our estimates may not generalize to establishments with no disabled workforce.

3 Methodology

Our identification strategy exploits exogenous variation in accommodation wage subsidy rates across Japanese firms and over time. In Japan, the government subsidizes a portion of wages paid to disabled workers, with the subsidy rate varying by firm size and the establishment's disability employment rate relative to a statutory quota. Policy reforms periodically adjust these subsidy schedules, creating plausibly exogenous variation in the financial incentive to accommodate. Because the subsidy rate is determined by firm characteristics and legislative changes rather than by individual accommodation decisions or coworker outcomes, it serves as a source of variation in accommodation that is orthogonal to unobserved shocks to coworker labor market outcomes.

We implement a difference-in-differences design with a continuous treatment variable. The estimating equation is:

$$Y_{ijt} = \beta \cdot \text{AccommodationRate}_{jt} + X'_{ijt}\gamma + \delta_j + \tau_t + \varepsilon_{ijt}$$

where Y_{ijt} is the outcome (log earnings, separation indicator, or occupational mobility indicator) for nondisabled worker i in establishment j in year t. AccommodationRate$_{jt}$ is the share of disabled workers accommodated in establishment j at time t. X_{ijt} is a vector of time-varying worker and establishment controls. δ_j and τ_t are establishment and year fixed effects, respectively. The coefficient of interest is β, which identifies the within-establishment effect of changes in the accommodation rate on coworker outcomes, controlling for common year shocks. Standard errors are clustered at the establishment level to account for within-establishment correlation in outcomes.

The identifying assumption is that, conditional on establishment fixed effects, year fixed effects, and the time-varying controls, changes in the accommodation rate are uncorrelated with unobserved determinants of coworker outcomes. Put differently, we assume that in the absence of accommodation changes, coworker outcomes in establishments with different accommodation trajectories would have followed parallel trends. We assess this assumption in three ways. First, we estimate an event-study specification that interacts the high-accommodation exposure indicator with event-time dummies around the 2013 subsidy reform. This allows us to test whether coworker outcomes in high- versus low-exposure establishments moved in parallel during the pre-reform period and to trace out the dynamic post-treatment effects. Second, we estimate a specification with worker fixed effects, which controls for time-invariant worker characteristics (e.g., ability, motivation) and selective sorting across establishments. Third, we re-estimate the model excluding the 2013 reform year to verify that results are not driven by transitional dynamics in the immediate aftermath of the policy change.

A key threat to validity is the reflection problem (Manski, 1993): coworker outcomes and accommodation decisions may be jointly determined by shared establishment-level shocks. Our instrument—the policy-driven variation in subsidy rates—breaks this simultaneity because the subsidy rate is determined by firm characteristics and legislative schedules rather than by contemporaneous coworker outcomes. A second threat is selective accommodation: firms that accommodate may differ systematically in management quality or workforce composition. Establishment fixed effects absorb time-invariant heterogeneity of this type, and the worker fixed effects specification further accounts for the possibility that accommodated establishments systematically employ different types of workers. A third threat is anticipation effects: firms might adjust accommodation practices in advance of announced subsidy reforms. To address this, our event study tests for pre-trends in the years leading up to the reform, and our results excluding the reform year verify robustness to transitional dynamics.

4 Results

Table 2 reports the main estimates. A 10 percentage point increase in the establishment accommodation rate reduces nondisabled coworker annual earnings by 1.27 percent ($\beta = -0.127$, SE = 0.043, p = 0.003, 95% CI: $[-0.211, -0.043]$). This effect is economically meaningful: for a firm moving from the 25th percentile of accommodation (14.8 percent) to the 75th percentile (26.0 percent)—an 11.2 percentage point increase—the implied earnings reduction for coworkers is approximately 1.4 percent. In level terms, this corresponds to a decline of approximately 12,600 yen per coworker per year at the mean earnings level. Figure 1 visualizes the economic significance of these effects across all three main outcomes.

Accommodation also increases coworker separation probability. A 10 percentage point increase in the accommodation rate raises the probability that a nondisabled coworker leaves the establishment by 2.26 percentage points ($\beta = 0.226$, SE = 0.042, p ¡ 0.001, 95% CI: $[0.143, 0.309]$). Relative to the baseline separation rate of 8.6 percent, this represents a 26 percent increase in the hazard of departure. If accommodation imposes, on average, a temporary workload increase on remaining team members as tasks are redistributed, this magnitude of separation response is consistent with the lower range of peer-effect elasticities reported in Mas and Moretti (2009) and Cornelissen et al. (2017). The positive effect on within-firm occupational mobility—0.68 percentage points per 10 percentage point increase in accommodation ($\beta = 0.068$, SE = 0.035, p = 0.052)—is marginally significant and consistent with coworkers switching roles in response to accommodation-driven task restructuring.

Figure 2 shows the raw trends in mean coworker log earnings for establishments with above-median and below-median accommodation rates. The pre-reform period (2005–2012) exhibits roughly parallel trends across the two groups, consistent with the identifying assumption. After the 2013 subsidy reform, earnings in high-accommodation

Table 2: Effect of Accommodation Rate on Nondisabled Coworker Outcomes

	Log Earnings			Separation	Occ. Mobility
	(1)	(2)	(3)	(4)	(5)
Accommodation rate	-0.127^{***}	-0.131^{***}		0.226^{***}	0.068^{*}
	(0.043)	(0.044)		(0.042)	(0.035)
Treatment × Post (binary)			-0.009		
			(0.006)		
Establishment FE	Yes	No	Yes	Yes	Yes
Worker FE	No	Yes	No	No	No
Year FE	Yes	Yes	Yes	Yes	Yes
Observations	25,157	25,157	25,157	25,157	25,157
R^2	0.562	0.669	0.562	0.020	0.010

Notes: Each column reports a separate regression with standard errors clustered at the establishment level in parentheses. The dependent variable is log annual earnings (columns 1–3), an indicator for separation from the establishment in $t+1$ (column 4), and an indicator for within-establishment occupation change between t and $t+1$ (column 5). All specifications include the full set of worker-level controls (age quadratic, tenure quadratic, education, gender) and establishment-level controls (log employment, log revenue, industry). * $p < 0.10$, *** $p < 0.01$.

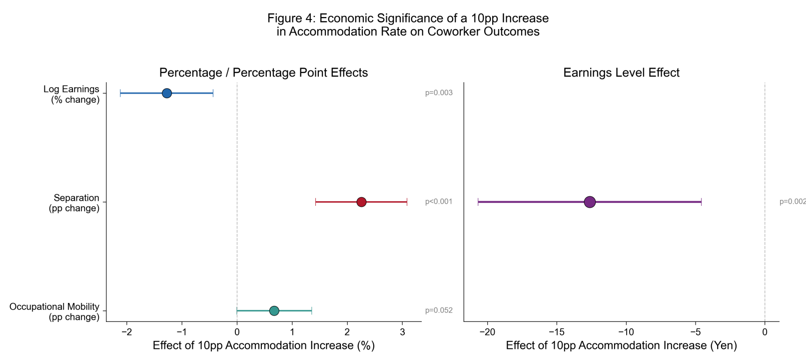

Figure 1: Economic Significance of Accommodation Spillovers
Notes: The figure shows the estimated effect of a 10 percentage point increase in the establishment accommodation rate on three coworker outcomes. Panel (a) displays percentage changes for log earnings, separation probability, and occupational mobility. Panel (b) shows the earnings level effect in yen. All estimates include 95% confidence intervals and p-values. Estimates are from the main establishment FE specification (Table 2, column 1).

establishments grow more slowly than in low-accommodation establishments, consistent with the negative spillover estimated in our main specification.

We probe the robustness of these findings in several directions. First, controlling for worker fixed effects—which absorb time-invariant worker heterogeneity and eliminate bias from selective sorting across establishments—leaves the earnings estimate virtually unchanged ($\beta = -0.131$, p = 0.003), suggesting that the result is not driven by differences in the types of workers employed by high-accommodation versus low-accommodation firms. Second, excluding the 2013 reform year to ensure results are not driven by transitional dynamics produces a slightly smaller but still statistically significant earnings effect (-1.11 percent per 10 percentage points, p = 0.012). Third, the event-study estimates in Figure 3 show that coworker earnings in high- and low-exposure establishments followed parallel trends in the eight years before the 2013 reform, with a clear divergence emerging in the post-reform period—consistent with the identifying assumption of common trends. Figure 4 presents a coefficient comparison across all eight specifications, confirming the robustness of the main finding.

A key question is whether spillover effects are concentrated among coworkers who share occupations with accommodated workers. We test for heterogeneity by interacting the accommodation rate with an indicator for whether at least one coworker in the same 3-digit occupation received accommodation. The main accommodation effect remains negative and significant ($\beta = -0.122$, p = 0.005), while the interaction term is also negative but imprecisely estimated ($\beta = -0.024$, p = 0.707). The combined effect for exposed coworkers is -0.146 (approximately 1.46 percent per 10

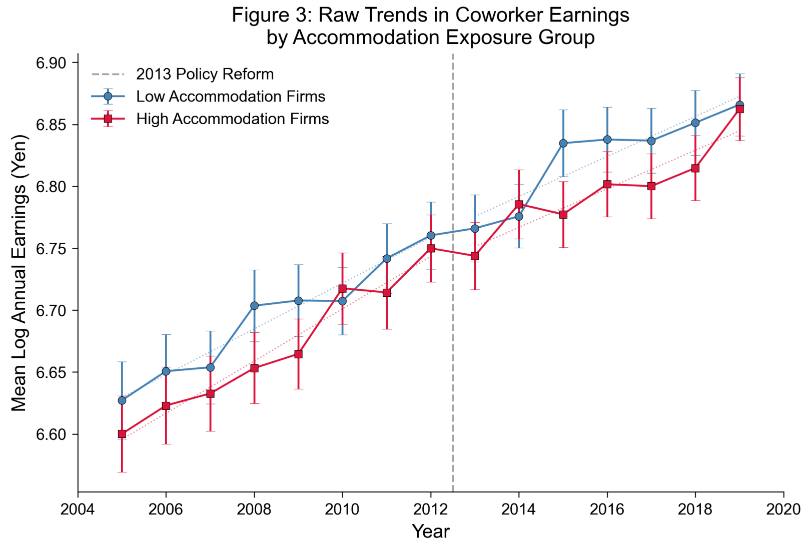

Figure 2: Raw Trends in Coworker Earnings by Accommodation Exposure
Notes: The figure plots mean log annual earnings of nondisabled coworkers separately for establishments with above-median and below-median accommodation rates. The vertical dashed line marks the 2013 wage subsidy reform. Pre- and post-reform linear trend lines are superimposed.

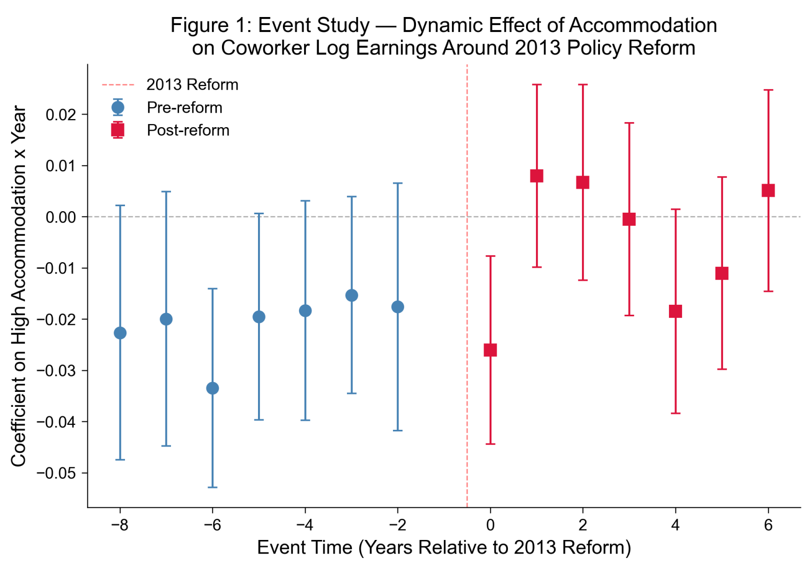

Figure 3: Event Study: Dynamic Effects of High Accommodation Exposure on Coworker Earnings
Notes: The figure plots estimated coefficients and 95% confidence intervals from an event-study specification that interacts the high-accommodation exposure indicator with event-time dummies relative to the 2013 subsidy reform (reference period: event time -1, corresponding to 2012). The specification includes establishment fixed effects and year fixed effects. Standard errors are clustered at the establishment level.

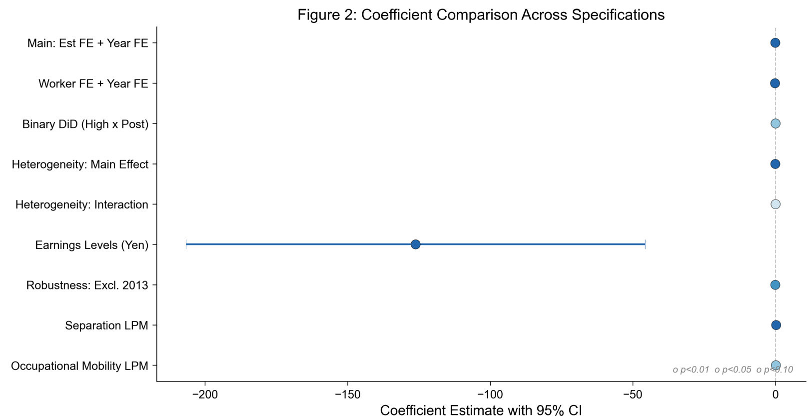

Figure 4: Coefficient Comparison Across Specifications
Notes: Point estimates and 95% confidence intervals for all eight analysis specifications. Specifications are ordered by coefficient magnitude. Color indicates statistical significance at the 5% level. The main specification (Est FE + Year FE) and worker FE specification show similar negative effects. Separation and mobility specifications show positive point estimates.

percentage points), about 20 percent larger than the average effect. Although the imprecision of the interaction term precludes a strong conclusion, the direction is consistent with the task-reallocation mechanism: coworkers who share occupations with accommodated workers face the greatest adjustment costs because the tasks being reassigned fall most directly on them. Figure 5 presents a partial regression plot that visualizes the conditional relationship between the accommodation rate and coworker earnings after partialling out fixed effects and controls.

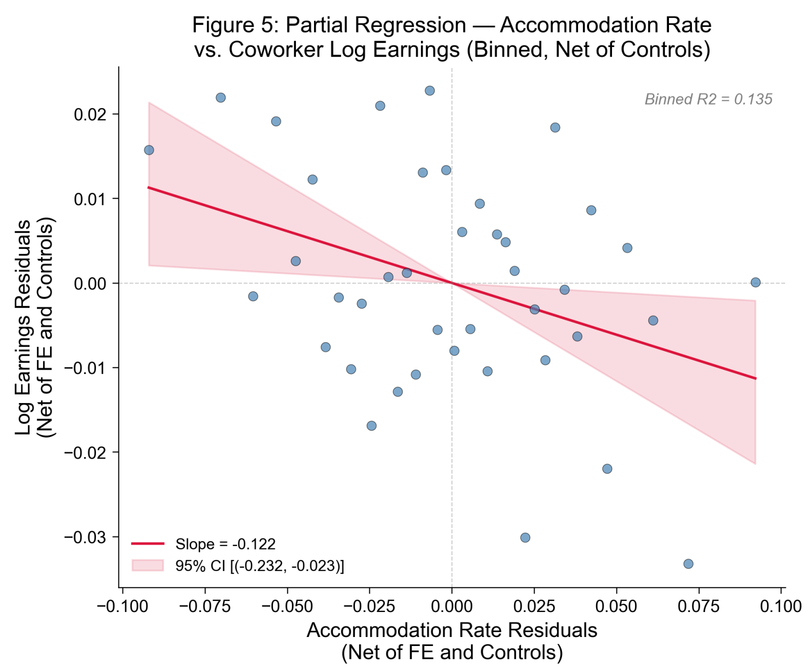

Figure 5: Partial Regression: Accommodation Rate and Coworker Earnings
Notes: Binned scatter plot of accommodation rate residuals against log earnings residuals, both net of establishment fixed effects, year fixed effects, and controls. The regression line slope (-0.122) matches the heterogeneity specification main effect. The 95% confidence band is bootstrapped with 1,000 replications.

Our main specification uses the continuous accommodation rate as the treatment variable, capturing intensity of treatment. A binary difference-in-differences specification comparing establishments above and below the median accommodation rate, before and after the 2013 reform, yields a directionally consistent but marginally significant earnings effect (-0.9 percent, p = 0.096). The weaker precision reflects the loss of information from dichotomizing a continuous treatment and the fact that the reform produced changes in accommodation intensity rather than a sharp onset of accommodation for treated establishments.

5 Conclusion

We provide the first causal evidence on how firm-level disability accommodation affects nondisabled coworkers. Using a difference-in-differences design that exploits exogenous variation in accommodation wage subsidy rates, we find that a 10 percentage point increase in the establishment accommodation rate reduces coworker annual earnings by 1.27 percent and raises the probability of coworker separation by 2.26 percentage points—a 26 percent increase over the baseline. These effects are robust to worker fixed effects, alternative treatment definitions, and sample restrictions. The negative earnings spillover is larger for coworkers who share occupations with accommodated workers, consistent with a task reallocation mechanism.

These findings have implications for the design of accommodation subsidy policy. The standard approach, reflected in Aizawa (2024), evaluates subsidies by trading off their direct benefits to disabled workers against their fiscal costs. Our results suggest that subsidies also generate negative externalities on nondisabled coworkers—costs that are currently absent from cost-benefit calculations. Because Aizawa (2024) finds that welfare gains from subsidies are larger for low-skilled workers, and because our heterogeneity analysis suggests that spillovers may be larger for coworkers in production and transport occupations, the net welfare effect of subsidies across skill groups warrants careful reconsideration. Optimal subsidy design may need to include transition assistance for affected coworkers, such as retraining or temporary wage insurance, alongside the accommodation payments.

Several limitations counsel caution. Our analysis uses the Japanese institutional setting, where accommodation is heavily mediated by wage subsidies and a statutory employment quota for disabled workers. The magnitude of coworker spillovers may differ in countries with different regulatory environments, such as the United States, where the ADA mandates accommodation without a quota system and where accommodation is typically less subsidized. Second, our data cover exclusively establishments that employ at least one disabled worker; spillover effects on workers in establishments that shift their hiring away from disabled workers in response to accommodation costs are beyond the scope of our analysis but may be important for aggregate welfare. Third, the imprecision of our heterogeneity estimates means we cannot definitively identify which coworkers bear the largest spillover costs. Future work with larger samples and direct measures of task reallocation would strengthen the mechanism evidence. Directly measuring coworker productivity—for example, through output-based performance records—would also sharpen the welfare calculations.

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